Project 1 — Edition A

Decision and user

Decision: Whether to initiate research coverage of Rocket Lab as a possible public-equity investment.

Decision user: A young, long-horizon investor who can accept high volatility and the possibility of losses while evaluating a speculative growth company.

Company and valuation date

Company: Rocket Lab Corporation (NASDAQ: RKLB)

Valuation date: September 1, 2026

Initial thesis

Initial stance: Initiate research. Rocket Lab operates in launch services and space systems. Its contracted backlog and participation in a growing space economy may support long-term upside. This is an early, high-risk research thesis, not a buy recommendation. The valuation, cash burn, dilution risk, execution of development programs, and timing of sustained profitability remain unresolved.

Primary filing used

- **Entity:** Rocket Lab Corporation
- **Ticker:** RKLB
- **Filing:** Form 10-K
- **Accession number:** 0001819994-26-000013
- **Reporting period ended:** December 31, 2025
- **Filing date:** February 26, 2026
- **Source:** Rocket Lab 2025 Form 10-K

Known evidence from the 2025 Form 10-K

Item	Evidence
Currency	U.S. dollars ($)
Financial-statement units	Thousands, except share and per-share amounts
Diluted-share evidence	Weighted-average common shares outstanding were 530,664,781 basic and diluted for 2025. Because Rocket Lab reported a net loss, potential dilutive securities were anti-dilutive.
Cash and cash equivalents	$828.660 million at December 31, 2025
Interest-bearing debt	$154.111 million: $152.395 million convertible senior notes, net, plus $1.716 million long-term borrowings, net. Operating-lease liabilities are excluded from this definition.
Operating-value driver	Backlog of $1.8473 billion at December 31, 2025: $1.3717 billion in Space Systems and $475.6 million in Launch Services.

The backlog is relevant because it represents contracted future work and potential future revenue. It does not, by itself, establish the timing, margin, or certainty of revenue conversion.

Filing locations: Consolidated Balance Sheets (cash, convertible notes, and long-term borrowings); Note 18, “Net Loss Per Share Attributable to Common Stockholders” (diluted-share evidence); and MD&A (backlog).

Enterprise-to-equity bridge

The standard relationship is:

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Enterprise value = market value of common equity
                 + debt
                 + preferred equity
                 + noncontrolling interests
                 − cash and cash equivalents
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Using the 10-K inputs and an illustrative February 26, 2026 share price calculation:

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Share price (February 26, 2026)                 $72.65
× Shares outstanding (February 20, 2026)    567,445,449
= Market value of common equity               $41.225B

+ Interest-bearing debt                         $0.154B
− Cash and cash equivalents                    ($0.829B)
= Enterprise value                             $40.550B
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No preferred equity or noncontrolling interests were included in this illustrative calculation.

Important limitation: the inputs are not fully date-aligned. Cash and debt are from December 31, 2025; shares outstanding are from February 20, 2026; and the market price is from February 26, 2026. This is a mechanical illustration of the standard formula. If the course requires the separate synthetic bridge with a known class answer, that class example must be used instead.

Consequential assumptions

- Demand in the space industry grows enough to support backlog conversion and new orders.
- Rocket Lab executes launches, spacecraft programs, and new-product development without major delays or cost overruns.
- Its cash balance is sufficient for the business plan, or it can raise additional capital without unacceptable dilution.
- The market price as of the valuation date does not already fully reflect optimistic growth and execution assumptions.

Key unknowns

- How quickly will backlog convert to revenue, and at what gross margin?
- What is the cost, timing, and commercial success probability of major development programs?
- How much additional equity or debt financing might be required?
- How does Rocket Lab’s valuation compare with relevant public peers?
- How concentrated is the customer base, and what cancellation or contract-execution risk exists?

Research plan

1. Obtain the September 1, 2026 share price and calculate market capitalization and enterprise value using date-aligned inputs.

2. Analyze revenue, gross margin, operating cash flow, capital expenditures, and cash-burn trends.
3. Evaluate backlog quality, expected timing, customer concentration, and cancellation risk.
4. Research development milestones, execution risk, and the competitive position of Rocket Lab’s launch and space-systems businesses.
5. Compare valuation and operating metrics with appropriate public peers.
6. Define the evidence that would change the initial “initiate research” stance.

Partner-generated falsification question

What makes you confident Rocket Lab can ever turn its ambitious plans into consistently profitable growth?

The partner supplied only this question. It is included as a challenge to investigate through the research plan, not as a conclusion.

Dated provenance and correction addendum

October 19, 2026. This addendum follows the unchanged Edition A. It supplements the historical record; it does not rewrite the original or assert a new baseline receipt.

Preservation and authorship

The preceding section renders the recovered September 1 Edition A Markdown. The original source file is also embedded in this PDF as an attachment, preserving its exact bytes. The archival SHA256 is **50749A9B74B77CACF0176B1FB9E6E59F596117BC906F5B499CB72E0EF4C9683D**. Formatting for this combined PDF does not convert it into an original submitted PDF.

Saved conversation history records AI assistance with Edition A's creation. It must not be described as independently authored with AI off. A historical statement that an upload occurred does not establish a verified Brightspace checkpoint receipt; none has been verified. The professor's subsequent email instructed students to preserve an available original unchanged and put later corrections in Edition B. That preservation instruction does not establish compliance with the earlier authorship/checkpoint boundary. No replacement baseline or fabricated retrospective original is supplied.

Edition A contains a partner-attributed falsification question. Its wording is preserved as part of that original; this package does not independently authenticate the attribution or claim additional partner review. Later simulated/AI-drafted lab feedback is not represented as real partner evidence.

Corrections relevant to the decision

- **Decision scope:** Edition A proposed initiating research for an individual investor. Edition B answers the assigned buy-side committee's position-initiation decision with no current holding. Continuing research does not equal buying shares.
- **Timing:** Edition A's illustrative enterprise-value bridge explicitly mixed December financial balances, February shares and a February price. It was not a September valuation. The current model uses the student-approved September 10 cutoff, with estimated cutoff cash and remaining date limitations disclosed.
- **Claims and shares:** Edition A's illustration omitted preferred participation and other security complexities. Weighted-average diluted EPS shares are not the same as outstanding economic ownership. Edition B separately models preferred common participation, awards, note conversion/retention, claims and paired financing/shares.
- **Cash-flow method:** Intermediate Lab 10 work used FCFE. The required final architecture uses operating FCFF from the linked statements, discounts only post-cutoff cash flows and bridges enterprise value to equity once.
- **Evidence boundary:** No model output, passing test or AI agreement establishes the truth of a forecast. The independent locked exercise and recorded cold run remain absent; the retained WACC example is an explicitly AI-assisted rehearsal.

These corrections are dated current analysis. The original Edition A remains unchanged and should not be read as already containing them.

Edition B | Evidence and decision evolution

Peyton Dow | October 19, 2026 | Information cutoff: September 10, 2026, 4 PM ET

AI-assisted synthesis. Peyton reviewed and adopted the WATCH/DEFER rationale; this record does not claim unaided authorship of the underlying research or code. Complete tool disclosure and checks: Validation-and-AI-Use.pdf / docs/validation-and-ai-use.md.

Current decision

For a buy-side fund with no existing RKLB holding, **watch/defer; do not initiate at $61.96**. Proposed investment horizon is three to five years. The working standalone scenario envelope is approximately $1-$7/share under the specified exit/base/upside assumptions. It is not a confidence interval, guaranteed floor, or complete valuation of the pending combined business. The complete conditional recommendation, range definitions and triggers appear in Decision-Memo.pdf.

The principal unresolved question from Edition A remains whether growth can become sustained profitable cash generation. The current model makes the burden measurable: base FCFF first turns positive in 2034, after five linked statement years and an explicit maturity transition. The continuing downside fails its 2030 funding requirement; a separate 2029 orderly-exit scenario requires unverified recoveries and closure assumptions. Stronger evidence, rather than confidence in the narrative alone, is required before committing capital.

A-to-B change table

Changed item	Edition A	Edition B	Driver and evidence
Decision/user	Initiate research for a young long-horizon investor; explicitly not a buy	Watch/defer position initiation for the assigned fund; no existing position	Course mandate plus AI-assisted financial analysis and student-adopted judgment; conditional DCF, exit, peers and reverse DCF
Information timing	September 1 stated date; illustrative bridge uses December/February inputs	September 10 regular close; only information available by cutoff; interpolated cash explicitly estimated	Student-selected date; filing/source audit; known pre-cutoff issuance/exercise; later financing completion excluded
Ownership/claims	Basic debt/cash illustration; no preferred equity included; EPS diluted-share evidence	Participating preferred, awards, notes and claims reconciled; converted and retained branches; paired cash/shares	AI-assisted source reconciliation and bridge tests; capitalization prospectus and known exercise; exact cutoff cap table remains uncertain
Forecast and value	Research plan, backlog and qualitative execution/funding risks; no defensible final price range	Five-year linked statements, FCFF DCF, paid growth, 2031-2040 transition and conditional per-share range	Course FCFF requirement plus AI-assisted rebuild; published Lab 5 known-answer benchmark, articulation and continuity checks

Changed item	Edition A	Edition B	Driver and evidence
Normalization	No explicit final normalized base-year model	FY2025 EBIT retained; H1 cancellation treated separately; no cash created; ordinary compensation/R&D retained	Independent SEC disclosure check and AI-assisted accounting reasoning; normalization tests
Peers and market price	Planned peer research; unresolved valuation question	Policy-led RDW/Avio EV/revenue and P/S; no forced P/E; no mechanical average	Original lab candidate policy extended; source/definition/currency checks; reverse DCF challenges current standalone paths
Risk and reversal	Funding/dilution, execution, backlog conversion and profitability unknown	Explicit $200m reserve, unfunded downside, instrument branches, transaction-scope limits and monitoring triggers	Mixed course instruction, model tests and AI-assisted judgment; no invented partner challenge

One consequential check

Pre-recording review identified a gap in the explicit one-way operating-driver/range-ranking evidence. The completed comparison changes 2027-2030 space growth, space gross margin, R&D spending and Neutron recognition separately, preserving the base and historical facts. Standard shocks make space growth the largest driver of 2030 EBIT, FCFF and value; wider R&D and narrower revenue ranges put R&D first. The app now exposes these controls and a same-base comparison. This is an AI-assisted correction prompted by course requirement 8, not a new independent student prediction. Evidence: outputs/proforma-sensitivity.md and its documented analyst bounds.

Claim challenged: the operating plan can be financed without simply assuming new equity is available. The unchanged continuing downside stops in 2030 with approximately $314.688m additional net funding required. The model does not insert an uncommitted facility to produce a clean valuation. This preserves a decision-relevant failure: absent credible funding or an executable alternative, WATCH can become DO NOT INITIATE. The separate exit is conditional rather than an assured liquidation floor. Evidence: outputs/development-validation.md and outputs/downside-exit.md.

One tested AI output

AI-produced claim: removing the identified H1 cancellation expense improves the analytical run-rate view without increasing historical cash. **Check:** the June 2026 Form 10-Q, Note 13 and cash-flow statement, identify the noncash charge and reported CFO. Removing expense and its corresponding addback leaves CFO unchanged. **Disposition: accepted with qualification.** There is no invented cash benefit, and reallocated R&D/replacement compensation could offset the apparent future savings. Source/definition evidence and exact values are in the single validation record.

What changed from Edition A to Edition B, and why?

The initial stance authorized research; the current stance addresses whether to commit the fund's capital. The qualitative growth thesis became a linked, conditional cash-flow test. Backlog and revenue opportunity remain relevant, but operating losses, reinvestment, funding and economic ownership now constrain the recommendation. The current standalone paths do not support buying at the cutoff price, while omitted transaction economics and uncertain long-term assumptions prevent treating the valuation gap as conclusive proof that the market is wrong. WATCH/DEFER expresses that combination. The judgment changed through course requirements, source reconciliation, AI-assisted modeling and validation, followed by Peyton's explicit adoption of the rationale; no unaided authorship or fictional partner review is claimed.